Sanlam Kenya Results

Unaudited Financial Statements for the period ended 30th June, 2017

1. Introduction

The Board of Directors of Sanlam Kenya PLC ("Sanlam") is pleased to announce the Group's unaudited interim results for the six months ended 30th June, 2017.

2. Key Features

- Profit before tax of KShs. 153m (2016: KShs. -145m)
- Total assets up by 5% to KShs. 29.8b (2016: KShs. 28.4b)
- Group Embedded Value increased to KShs. 5.2b (2016: KShs. 4.7b), a return of 10.3% for the six months
- Value of New Business of KShs. 29m (2016: KShs. -7m)

3. Accounting Policies

The Group's accounting policies comply with International Financial Reporting Standards (IFRS) as well as the Kenyan Companies Act. These policies are consistent with those applied in the prior financial year.

4. The Economic Environment

The Kenya National Bureau of Statistics estimates that Kenya's economy expanded by 4.7% during the first quarter of 2017 compared to a growth of 5.9% in the same period of 2016. This was largely attributed to contraction in agricultural activity as a result of the ongoing drought and a slowdown in credit uptake, which had a negative impact on financial services.

The NSE share index of 3.607 as at 30th June, 2017 increased by 13% from the December 2016 closing index level of 3,186. The overall inflation rate rose to 9.2% in June 2017 from 6.4% in December 2016. The Kenya Shilling marginally depreciated against the Dollar during the period to June, closing at KES/USD 103.7 compared to 102.5 at 31 December 2016. Interest rates have been relatively stable in 2017 with the Central Bank of Kenya maintaining the CBR at 10% in all three Monetary Policy Committee meetings in the first half of the year.

5. Regulatory Developments

The main regulatory development in the insurance sector was the gazettement of The Statute Law (Miscellaneous amendments) Act 2017, postponing the effective date of complying with the new capital requirements to June 2020.

6. Financial Overview

The Group recorded a profit before tax of KShs. 153m for the six months ended 30 June 2017, a significant improvement compared to the loss of KShs. -145m for the same period in 2016. This is mainly attributable to a higher operational profit contribution from the life insurance business and a decline in the marked-to-market fair value losses on investments held in the shareholders' portfolio. The results also include one off operational savings that are not expected to recur in the second half of the year.

The Group results are analysed as follows:

	Six months to 30 June 2017 KShs' M	Six months to 30 June 2016 KShs' M
Operating profit	194	39
Investment income on shareholders' assets	(41)	(184)
Profit/(Loss) before tax	153	(145)
Tax	(62)	16
Net profit/(loss) for the period	**91**	**(129)**

Included in the operating profit are the results of our Life Insurance, General Insurance, Investments, Property and Loans businesses. The Life Insurance and other operating subsidiary (property and loan) businesses reported an improved operating profit contribution compared to the same period in 2016, while General Insurance and Investments reported lower operating profits.

The shareholders' funds realised improved returns on a relative basis with a 78% reduction in fair value losses.

Life Insurance: Gross written premiums increased by 1% to KShs. 2.3b from KShs. 2.29b achieved in 2016. Investment portfolio earnings increased by 20% from KShs. 1.2b in 2016 to KShs. 1.4b in 2017, driven by higher revaluation gains from marked-to-market investments. Policyholder benefits increased marginally from KShs. 2.5b to KShs. 2.6b mainly attributable to an increase in maturities. The Life Insurance business' operating profit of KShs. 259m increased from KShs. 106m in 2016.

General Insurance: The General insurance business has continued its strong growth trajectory with significant gains being recorded in corporate client engagement in the first half of 2017. Gross written premiums grew by 225% to KKShs.. 1.3b from KKShs.. 408m achieved in the same period in 2016. Investment returns increased by 23% to KShs. 41m in 2017 driven by a growth in the investment portfolio. The loss ratio in the first half of 2017 was within expectations but slightly above the comparable period due to a higher claims experience in the medical line of business. Operating expenses were negatively affected by an increase in bad debt provisions in line with the high premium growth, coupled with the requirement to comply with the cash and carry guidelines. Improved collection at full year 2017 is expected to reduce the impact of bad debt provisions. The unit closed the first half of the year with a profit before tax of KShs. 7m.

Investment Management: Investment Management fee income increased to KShs. 59m from KShs. 53m in 2016 on account of growth in assets under management. The Investment Management operating profit of KShs. 0.7m declined from KShs. 4.4m in 2016 mainly attributable to lower than expected growth in assets under management and an increase in expenses. Following the acquisition of a majority stake of Pinebridge East Africa Limited by Sanlam Emerging Markets (SEM) and the subsequent rebranding of Pinebridge to Sanlam Investments East Africa, the integration of the SEM asset management businesses in the region has commenced and expected to be concluded within the year.

Other operating subsidiaries: Income from land sales was lower than the achievement in the 2016 comparable period as a result of a slowdown in the property market, while revenue from the loan business remained stable. The operating performance for property and loan businesses improved with a 16% reduction in the operating loss from KShs. 70m in 2016 to KShs. 59m in 2017.

7. Dividends

Consistent with the Company's dividend policy, the Board does not recommend the payment of an interim dividend.

8. Looking Ahead

The Group has gained significant traction from various aspects of the five-year strategy already fully implemented in 2016. Going forward, a strong focus remains on driving topline growth, cost efficiencies and sustainable profits, while investing in operational efficiency, as we aim to serve our client's better and offer shareholder value. We remain committed to protecting the wealth of our clients and other stakeholders.

For and on behalf of the Board

Dr. JPN Simba, OGW, MBS (Chairman)

Mr. M. Kibati (Group Chief Executive Officer)

Directors

Dr. JPN Simba, M. Kibati, J. Magabe***, S. Mudhune, R. Patel, T. Botha*, ML Olivier*, JA Burbidge**
*South African **British ***Tanzanian

Group Statement of Comrephensive Income

	30 June 2017 KShs'	30 June 2016 KShs'	31 Dec 2016 KShs'
Gross premium income	3,362,551	2,639,297	5,224,546
Outward reinsurance premium	(637,757)	(200,884)	(392,341)
Net written premium	**2,724,794**	**2,438,413**	**4,832,205**
Investment income	1,205,769	1,250,684	2,518,645
Fair value gains	199,042	(151,010)	(450,341)
Fee and commissions earned	163,794	38,703	74,955
Other operating income (Including property)	2,510	40,055	178,610
Other revenue	**1,571,115**	**1,178,432**	**2,321,869**
Total income	**4,295,909**	**3,616,845**	**7,154,074**
Gross benefits and claims paid	(2,285,688)	(1,883,908)	(4,193,984)
Reinsurers' share of claims	46,002	29,824	204,498
Net change in contract liabilities	(511,736)	(765,969)	(488,981)
Net claims and policyholders benefits	**(2,751,422)**	**(2,620,053)**	**(4,478,467)**
Cost of sales	-	(4,325)	(28,009)
Commission expense	(412,411)	(362,347)	(660,731)
Operating and other expenses	(979,552)	(735,246)	(1,576,197)
Impairment of deposits with financial institutions	-	(39,600)	(93,397)
	(4,143,385)	**(3,761,571)**	**(6,836,801)**
Profit before share of profit of an associate	152,524	(144,726)	317,273
Share of profit of an associate	-	-	(220)
Profit before tax	**152,524**	**(144,726)**	**317,053**
Income tax expense	**(61,996)**	**16,357**	**(246,430)**
Profit after tax	**90,528**	**(128,369)**	**70,623**
Other comprehensive income			
Other comprehensive income net of tax	-	-	23,249
Total profit & other comprehensive income	**90,528**	**(128,369)**	**93,872**
Profit attributable to:			
Equity holders of the parent	89,196	(128,500)	106,061
Non-controlling interest	1,332	131	(12,189)
Earnings per share			
Basic	**0.62**	**(0.89)**	**0.74**
Diluted	**0.62**	**(0.89)**	**0.74**
Shares used for calculating earnings per share	**144,000,000**	**144,000,000**	**144,000,000**

Group Statement of Financial Reserves

	30 June 2017 KShs'	30 June 2016 KShs'	31 Dec 2016 KShs'
Capital and reserves			
Share capital	720,000	720,000	720,000
Revaluation reserve	15,809	-	15,809
Statutory reserve	3,122,912	2,275,446	2,814,653
Retained earnings	683	592,128	219,746
Non-controlling interest	163,368	86,104	162,036
Total capital and reserves	**4,022,722**	**3,673,678**	**3,932,244**
Intangible assets	114,945	124,766	116,661
Property and equipment	166,324	156,019	177,071
Investment property	3,051,664	2,948,172	2,761,200
Investments in associate	21,572	21,792	21,572
Deferred tax	216,312	226,809	182,721
Financial instruments:			
Loans	855,615	930,826	930,564
Held to maturity financial assets	9,406,658	8,366,283	8,836,392
Available for sale financial assets	529	978	104,653
Fair value through profit or loss financial assets	10,136,447	10,392,802	10,566,547
Reinsurance assets	761,819	428,870	554,983
Land and development (Inventory)	127,366	77,429	127,366
Insurance receivables	814,039	389,164	550,622
Income tax receivable	71,043	75,432	65,583
Deferred acquisition costs	185,399	76,876	150,427
Receivable and other financial assets	836,623	244,699	798,792
Deposits with financial institutions	2,734,027	3,341,654	2,033,481
Cash and bank balance	310,872	192,313	463,955
Total assets	**29,811,254**	**27,994,884**	**28,442,590**
Liabilities			
Insurance contract liabilities	13,234,952	12,106,609	12,704,048
Market linked insurance liabilities	7,717,733	8,338,690	7,653,977
Payable under deposit administration contracts	1,359,239	1,430,469	1,489,407
Provision for unearned premium	865,888	310,327	474,115
Deferred tax	936,918	682,666	844,396
Provisions	51,925	51,925	51,925
Current tax liabilities	-	8,004	8,668
Insurance payables	1,064,979	509,625	802,471
Payables and other charges	556,848	882,889	481,339
Total liabilities	**25,788,482**	**24,321,204**	**24,510,346**

Group Statement of Changes in Equity

	30 June 2017 KShs'	30 June 2016 KShs'	31 Dec 2016 KShs'
Share capital and share premium	720,000	720,000	720,000
Opening reserves	3,050,208	2,996,074	2,996,074
Income attributable to shareholders	89,196	(128,500)	106,061
Transactions with minorities	-	-	(51,927)
Non-controlling interest	163,368	86,104	162,036
Balance at end of the year	**4,022,772**	**3,673,678**	**3,932,244**

Group Abridged Cash Flow Statement

	30 June 2017 KShs'	30 June 2016 KShs'	31 Dec 2016 KShs'
Cash flow from operating activities	(938,993)	(177,093)	(2,337,432)
Cash from investing activities	1,486,456	(205,108)	882,375
Cash flows from financing activities	-	-	36,325
Net increase in cash resources	547,463	(382,201)	(1,418,732)
Cash resources at the beginning of the year	2,497,436	3,916,168	3,916,168
Cash resources at the end of the year	**3,044,899**	**3,533,967**	**2,497,436**

Sanlam Wealthsmiths™

Life Insurance | General Insurance | Investments